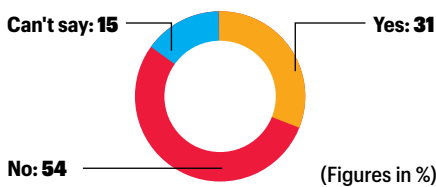
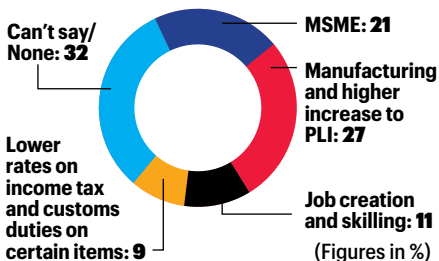


Vox Populi

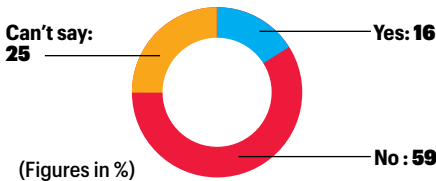
Do you expect the Budget announcements to boost demand and maintain growth momentum?



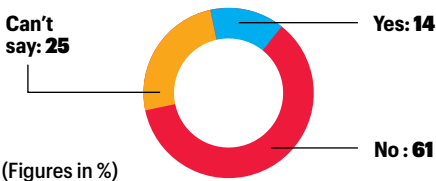
What is the most important focus of the Budget that will have an impact on your business?



Do you plan to hire more for the festival season?



Are you planning fresh investment/capex in the coming quarter?



Source The BT-C Fore Business Confidence Survey conducted between July 23 and August 5, 2024, of 500 CEOs and CFOs representing various industries and company sizes across 12 cities—Delhi, Mumbai, Chennai, Hyderabad, Bengaluru, Kolkata, Chandigarh, Lucknow, Nagpur, Kochi, Visakhapatnam and Bhubaneswar

remains a problem that could at any time lead to a flare-up in oil prices,” notes Devendra Kumar Pant, Chief Economist at India Ratings. He also points out that there remain concerns about how the US economy will pan out in the coming months. The domestic economy is, however, in a steady state, he underlines.

The agency recently revised its FY25 GDP growth estimate for India to 7.5% from the previous forecast of 7.1%, which is higher than the Reserve Bank of India’s forecast of 7.2%. The current growth momentum, led by government capex, deleveraged balance sheets of corporates and banks, and the incipient private corporate capex cycle, has now found support from the Union Budget, it said.

Rumki Majumdar, Economist at consulting firm Deloitte India, however, believes that concerns about a recession in the US economy are probably overstated. “There should be much more certainty around policies and government stability after the US elections. We also expect the US Fed to cut monetary policy rates by the end of the year or early 2025. All this will lead to a more buoyant US economy,” she says. Deloitte India expects strong economic fundamentals and rising domestic demand to drive growth to between 7% and 7.2% in FY25.

Reflecting this optimism around the domestic economy, businesses across sectors and sizes have shown an uptick in business confidence in the quarter ended June 30, 2024, compared to the previous quarter. The light industry sector, consisting of industries such as

food products, beverages, cotton textiles, apparel, wood and furniture, amongst others, was the most confident with a reading of 56.9, followed by heavy engineering, which had a reading of 56.2. However, with subdued export markets and low growth in many major export destinations, the mood in the services sector was slightly more cautious, and business confidence came in at 53.6.

In terms of industry size, big and medium industries remained the most confident with a BCI reading of 58.7 and 57.5, respectively, for Q1FY25. Small and micro businesses are, however, not so positive with their BCI at a comparatively lower 53.4 and 52.8, respectively, for the quarter.

Moving forward, businesses are also optimistic about demand conditions as well as profitability in Q2FY25. Companies also remain optimistic about the economic prospects in the second quarter, with a rating of 5.9 out of 10, compared to a rating of 5.7 in the previous quarter. But there remains anxiety beyond this, as hiring sentiment has dipped further to 4.8 for Q2 from 5.1 in Q1.

Even on a specific question of whether they plan to hire more for the upcoming festival season, only 16% of the businesses surveyed said “yes,” while 59% said “no”. Similarly, when asked about fresh investments or capital expenditure in the coming quarter, only 14% of the respondents replied in the positive while 61% said they had no such plans. Experts remain confident that both investments and hiring will pick up in Q2FY25.